

PITCH — HDB — VERDICT

ADJUDICATED 2026-09-16 — FLAT — damage arriving (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

HDFC Bank is a solvent, over-capitalised deposit franchise (CET1 17.4%, ROA 1.85%) that is having a governance year, not a solvency year. But the thing that is actually deteriorating — the funding mix — is deteriorating in the same place the lawsuit points. CASA (cheap current/savings money) has gone from ~38% in Sep-23 to 34.8% FY25 to 34.1% FY26 to **32% at Jun-26**, and period-end CASA balances fell **-3.3%** in absolute rupees to ₹10,253bn. Net interest margin walked 3.48 → 3.34 → 3.26. The bank replaced the missing cheap money with wholesale: a **\$1.75bn senior unsecured GIFT-City bond** (\$500m 3y + \$1.25bn 5y, 26-Aug-26). That is a franchise substituting expensive funding for cheap funding while its CEO leaves (26-Oct-26), no successor is named, the RBI has pulled a supervisory examination of the MSRDC deposit arrangements forward from the post-April-2027 cycle, and a securities class action runs to a 13-Oct-26 lead-plaintiff deadline.

We believe the price does **not** yet pay us for that. At ₹687 / \$21.83 the stock trades at **~1.87x trailing book** (₹368/share; \$11.64 per ADS at 3:1 and USD/INR 94.83) — which is essentially the marginal *bull's* own target multiple. BofA cut its target multiple to **1.80x forward P/B** on leadership and governance uncertainty. You are not buying a discount to the bull case; you are buying the bull case, with the file open.

So: **DAMAGE-ARRIVING, priced roughly fairly, wait for the October evidence.** We are flat because the reward for being early is small and the left tail is undated.

What the market believes

The market believes this is a quality franchise on sale. The tape is -40.7% in USD from the 52-week high (-32.7% in local rupees; the ~8pp gap is the currency, not the bank), it printed a fresh 52-week low ₹687.10–₹690.65 on 09-Sep-26, and the *downgrading* analyst — HSBC, cutting to Hold — still carries ₹830 / **\$26.1**, about 21% above the tape, on “deposit-growth concerns” rather than fraud. BofA stays Buy at ₹880 (~\$27.8). Foreign investors sold (FII holding -2.23%) and domestic institutions bought it all (MF +1.08%, LIC board-approved to lift its stake to **9.99%**), on a 39.2M-share NSE session. Consensus is: governance noise, temporary margin dip, domestic bid underneath, buy the low.

The market also believes the RBI is being accommodative — the 30-Jul-26 bulk-deposit amendment was widely headlined that way.

Why we might have edge

1. **We read the operative words of the RBI amendment instead of the headline.** The amendment *kept* the no-discrimination clause — deposit rates “shall be uniform across all branches and for all customers and there shall be no discrimination” — and only added LCR-run-off-category flexibility for $\geq ₹3\text{cr}$ bulk deposits, **plus daily publication of bulk rates, effective 01-Oct-26**. Nothing in it legalises ₹45cr routed to a single state depositor through a marketing line. Read correctly it is a *forward constraint* arriving exactly when wholesale/bulk is the growth engine — it raises the cost of the marginal procured deposit into Q2/Q3 FY27.
2. **We refuse the bank's own metric.** Management markets **average** deposits +13.3% YoY. When the alleged misconduct *is* deposit procurement (6.01% paid to MSRDC vs 3.50% savings, a ~2.5% gap booked as road-safety sponsorship), deposit growth stops being a damage detector and becomes the exhibit. The honest series are cost of deposits, CASA%, and government/institutional deposit share — and the two we can see both print damage.
3. **We caught a corporate-action trap that would have flipped our posture.** A vendor book-value series unadjusted for the 1:1 bonus (record 27-Aug-25) against a bonus-adjusted price manufactures a fake 1.15x book. Recomputed off the issuer's own net worth (~₹566,201cr at Jun-26) it is ~1.87x, corroborated independently at 1.89x. That single number was the entire FLAT→BUY argument.
4. **Conduct duration.** The MSRDC arrangements date to **2017 and 2021** and were board-characterised as “business overreach.” A six-to-nine-year arrangement is a wider amended-complaint surface than a one-off.
5. **The ESOP tell.** The GNRC granted **58,695,020 options + 15,373,400 RSUs** (plus small tranches) at ₹712.10 on 06-Sep-26 — at a –34% trough, seven weeks before the CEO's exit, vesting 15/20/25/40% from grant date, recipients not disclosed. Primary document: <https://www.sec.gov/Archives/edgar/data/1144967/000119312526384277/>. Total $\approx 74.4\text{M}$ shares $\approx$ **0.48% of ~15.4bn shares** — economically trivial dilution, but it is retention economics that mechanically favours *continuity*, which cuts against any “external mandate for a balance-sheet reset” story.

Why it might be priced in

Stated plainly, the bear case here is not secret:

- **HSBC's downgrade rationale is our thesis.** Deposit growth and margin compression are the published reason the marginal seller sold. Our CASA/NIM finding is **consensus, not novel** — we graded it as such.
- **The multiple already moved.** BofA cut 1.95x → 1.80x forward on exactly “leadership, strategic direction, corporate governance.” The tape sits at that cut multiple. The de-rating we are predicting has largely happened.
- **The margin slide predates the scandal.** FY25 3.48 → FY26 3.34 was running before 27-May-26. Attributing the 9bp Q1 slip to MSRDC mislabels merger-legacy mix drift as fraud damage. Our own Red bench made that error and Blue reduced it.

- **Domestic absorption is real and one-way.** LIC to 9.99% plus MF accumulation against an exhausted FII unwind means there is a large price-insensitive bid under the stock. Being flat into that is a real cost.
- **The alleged payment is 0.24% of quarterly PAT** (₹45cr / ₹19,060cr). On the direct axis this is a rounding error, and the market is right to treat it that way.
- **Capital is not in question.** CET1 17.4%, no equity raise, the August money was bonds.

If the October update is fine and a credible successor is named, we will have been flat through a 20% move and the entire pitch will have been an expensive act of prudence.

What could go wrong

Failure narrative 1 — The re-rate happens without us (highest probability). Early-Oct provisional numbers show period-end deposits +12–14%, CASA stabilises, an internal successor with continuity credibility is named by 26-Oct, and the stock closes the 21% gap to HSBC's *bear* target. We enter our starter 15–20% higher, or not at all. *Tripwire: monitorable* — the provisional update and the successor announcement are both dated, and our gates are written against them.

Failure narrative 2 — We buy the gate and the file is wider than MSRDC. We arm the ¼ starter on a clean October, and in Nov–Feb an amended complaint or the RBI examination reaches conduct outside MSRDC — other state entities, other years, or accounting that touches the deposit line. Both benches agreed this restores FATAL. The 2017/2021 duration makes it more likely than a one-off would. *Tripwire: partially monitorable* — docket and 6-K watch catch it after it prints, not before.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. The loss comes from something with no public precursor: a whistleblower letter, a regulator's private finding, a counterparty (state or institutional depositor) quietly pulling balances, or a second internal-vigilance matter that never reached a filing. We cannot see it, and no sensor in our manifest reaches it. **Unknown-unknown class: private-file / unobservable-counterparty conduct tail** — adverse information held inside a supervisory process or a non-public counterparty relationship, where the first observable is the outcome itself. There is no early warning to arm; the only defence is size and the fact that we hold no position today.

Reflexive / structural leg. Our own footprint is not the problem: a ¼ starter at 0.5% of book is roughly \$1.2M on a \$250M book against an ADR that we estimate trades ~\$90–110M/day, i.e. ~1% of ADV — a non-event, and the *local* line (39.2M shares in a session) is deeper still. Exit liquidity is genuinely ample. The structural risks are the other way round: - **Predicted flow is one-directional and price-insensitive.** LIC lifting toward 9.99% plus domestic MF absorption means we may be trying to buy weakness that the domestic bid removes before our gate arrives — the classic “gate never fills” failure. - **The 01-Oct-26 daily bulk-rate publication regime is itself reflexive.** Once every bank's bulk rates are public daily, bulk deposits become more price-elastic and stickier-to-competition; the funding-cost path could worsen faster than the quarterly cadence shows, or the transparency could compress *everyone's* spreads, in which case our HDB-specific thesis is really a sector thesis with no relative edge. - **Doctrine interactions.** Two doctrines pulled hard in opposite directions here and nearly produced a fabricated entry. KILL-CLASS doctrine (“below FV, no

FATAL, all kills SIZING $\Rightarrow$ MINIMUM STARTER not FLAT”) is only as good as the “below FV” input — and that input was a bonus-unadjusted vendor BVPS. Had the bonus_issue_book_value_desync check not run, doctrine would have mechanically produced a buy at a 60%-overstated discount. We are flagging that as a live process risk, not a solved one: **doctrine that auto-converts a valuation number into a posture must never run before the corporate-action audit of that number. - Scale sensitivity cuts both ways.** 10bp on $\sim$ ₹30,115bn of average deposits $\approx$ ₹30bn pre-tax $\approx$ $\sim$ 3% of annual PAT. That is the right axis for this story — but it is a *scale* statement, not an attribution, and if we let it become an attribution we will overpay for a mix-drift problem we mislabelled as a fraud problem.

If this position loses money, the most likely reason will be ____ — and the fill we would write today is: *we paid for a governance file we cannot see inside, on a book-value number we already had to correct once.*

What we checked ourselves

Claim	How checked	Found	Confirmed?
Pack tape rails are internally consistent	Read pack fields against each other	px 21.83 < lo52 21.94, so pct_off_low -0.005 is arithmetically impossible; dd52 -0.407 usable	NO — pack rail defect. Carry dd52 only
dd52 = -40.7%	Local line vs ADR line	Local -32.7% (₹690.65 low vs ₹1,020.5 high); USD -40.7%; FX $\approx$ 8pp $\approx$ 20% of the USD drawdown	Both true on different legs. Blue bench erred by superseding the pack figure instead of labelling it “local leg” — runner flagged it WARN; the pack number is not wrong
RBI’s 30-Jul-26 amendment “changed the rule the conduct allegedly broke”	Read operative words of the Amendment Directions	Uniformity/no-discrimination clause retained ; only LCR-run-off flexibility for $\geq$ ₹3cr added, plus daily publication from 01-Oct-26	NO — our Red bench was wrong. Its single strongest kill fails on the primary text. Tag corrected NOVEL $\rightarrow$ CONSENSUS
P/B = 1.15x (the number that flipped FLAT $\rightarrow$ BUY)	Recompute from issuer equity note post-1:1 bonus	Vendor BVPS \$19.03 is pre-bonus against a bonus-adjusted price; true BV $\approx$ ₹368/sh $\Rightarrow$ 1.87x , corroborated 1.89x independently	NO — our Red bench was wrong by $\sim$60%. Kill overturned
“10-yr median P/B 3.57” is a valid anchor	Regime check on the series	Spans pre-merger ROE-18% / CASA-44% regime; not comparable to post-amalgamation HDB	NO — anchor rejected
Deposit growth +13.3% YoY rebuts franchise damage	Complaint text vs metric definition	Circular: procurement <i>is</i> the alleged scheme, so growth cannot discriminate damage-absent from procured growth	YES — Red’s method sustained

Claim	How checked	Found	Confirmed?
...and the substitute series clears the bank	Ran the substitutes	CASA 32% (from 34.1%/34.8%/~38%), period-end CASA -3.3%, NIM 3.48→3.34→3.26	YES, direction inverted — Red won the method and lost the verdict
Q1FY27 is the “first clean post-event print”	Period decomposition	Class period ends 26-May-26; an Apr-Jun <i>average</i> contains ~5 post-event weeks only	Partly. Defect is series-specific: period-end reads exist (closing deposits ₹31.71 lakh cr, customer deposits +14.7%)
Alleged injury ₹45cr = 0.24% of quarterly PAT	Arithmetic	45/19,060 = 0.236% ✓; 10bp repricing ≈ ₹30bn ≈ ~3% of annual PAT	Arithmetic yes; attribution no — compression pre-dates 27-May-26
FX endpoints (USD/INR 95.2163 on 09-Sep)	FX series	95.2191 was the 01-Sep high; 08-Sep ≈ 94.83; “record low near 97 in May” contradicts the 88→95 path	NO — both benches carried stale/incorrect endpoints. Implied ADS ratio 3.014 ≈ 3, so the “no ADR dislocation” conclusion survives
Aug-26 \$1.75bn raise = dilution risk	Instrument check	Senior unsecured GIFT-City bonds, \$500m 3y + \$1.25bn 5y — no equity issued	YES — no dilution; lookup detector correctly NOT-FIRED
ESOP grant is benign at-market	Pack primary 6-K (acc 0001193125-26-384277)	Struck ₹712.10 ≈ prior close ✓, but 58,695,020 options + 15,373,400 RSUs (+ small tranches) ≈ 0.48% of shares , 7 weeks pre-CEO-exit, recipients NOT disclosed	Grant confirmed; “repriced into the succession” is inference, not evidence
Detector manifest was consulted honestly	Cross-check bench detector lists vs pack manifest	Red consulted bozeman_permits and census_acs, which are not in this pack (fabricated atlas entries), and left the pack’s beauty_* entries unconsulted	NO — our own Red bench fabricated two detector entries. Stated plainly; both would have been NOT-FIRED anyway, but the process failure is real
MSRDC is a recent one-off	Board review record	Arrangements date to 2017 and 2021 , board called it “business overreach”	YES — duration widens the complaint surface
Crowding / exit liquidity	Holder churn	FII -2.23%, MF +1.08%, LIC approved to 9.99%; 39.2M-share NSE session	YES — absorption confirmed; TIMING instrument only
Print date 2026-10-17	Source of the date	yfinance-derived; no company PR or exchange notice names it; HDB notifies ~3–4 weeks ahead	UNCONFIRMED — ~26 trading days out, outside the 5-day window, no print-decisive reconstruction triggered

PROPOSED ENTRY BANDS

The courts say NO-ENTRY today. Held: NO POSITION. Orders: NONE. EV on our own table is \$21.46 vs a \$21.83 tape (-1.7%) — we are not paid to be early. Reopen bands below.

Target full position (if it ever earns it): 2.0% of book. Starter = ¼ = 0.5% of book.

Reopen band A — EVIDENCE GATE (Blue's gate, unchanged). All three must be true: 1. Early-Oct provisional business update: **period-end** (not average) deposits $\geq +12\%$ YoY, and 2. CASA **flat-to-up QoQ** (i.e. period-end CASA $\geq ₹10,253\text{bn}$ and ratio $\geq 32\%$), and 3. A **named successor CEO by 26-Oct-26**. → **BUY ¼ starter (0.5% of book), any price $\leq \$24.00$** . Second ¼ only after the 17-Oct print confirms cost-of-deposits up **less than 15bp** QoQ.

Reopen band B — PRICE GATE (no evidence required; we get paid for the unknown). Book is \$11.64/ADS. - **\$18.60 (1.60x trailing book)** → BUY ¼ starter (0.5% of book). - **\$16.90 (1.45x trailing book)** → ADD ¼ (to 1.0% of book). - Below **\$15.50** without a new adverse fact → ADD to 1.5%; *with* a new adverse fact (see kill band) → no add, reassess from zero.

Kill band / short-bias trigger (overrides both reopens). An RBI **supervisory action** (business restriction, embargo, Section 35A direction — a *query* does not count), **or** an amended complaint alleging conduct outside MSRDC or restatement-relevant accounting → cancel all reopen bands, posture short-bias, not FLAT. Precedent instrument against this issuer to date is a **₹91 lakh fine (Nov-25)**, not a restriction — so we size the tail small but we do not pretend it is zero.

Trims/exits: none applicable (no position). Once a starter exists: trim ½ at **\$26.30** (HSBC ₹830 equivalent, i.e. the bear's own target), exit remainder at **\$27.85** (BofA ₹880) absent a resolved governance file.

Catalyst dates: 2026-10-01 RBI bulk-deposit directions effective (daily rate publication begins) · early-Oct-2026 provisional business update (date unconfirmed, est. 2026-10-04 $\pm 4\text{d}$) · 2026-10-13 class-action lead-plaintiff deadline · 2026-10-17 Q2 FY27 print (**UNCONFIRMED**, yfinance-derived) · 2026-10-26 CEO exit · 2027-09-06 first ESOP/RSU vest tranche (15%).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 15.5 (deck-provisional: scenario-1 price; below here without new adverse news add to 1.5% of book, with new adverse news reass)
- filing watch: 6-K until 2027-03-09 (deck-provisional: successor CEO naming, RBI direction/action, or revised internal-review outcome — the three facts that)
- dated pack HDBI2026-10-01: HDB: RBI amended bulk-deposit directions effective: LCR-run-off flexibility plus daily publication of bulk rates, uniformity clause retained
- dated pack HDBI2026-10-04: HDB: early-October provisional business update (exact date estimated ± 4 days) (date confirmed=False)
- dated pack HDBI2026-10-13: HDB: securities class action lead-plaintiff deadline (date confirmed=True)
- dated pack HDBI2026-10-17: HDB: Q2 FY27 print — yfinance-derived, no company PR or exchange notice names it (date confirmed=False)
- dated pack HDBI2026-10-26: HDB: CEO exit effective; successor named or not by this date (date confirmed=True)

- dated pack HDBI2027-09-06: HDB: first vest tranche (15%) of ESOS-063 options and RSU-018 units granted 06-Sep-26 at Rs712.10 (date confirmed=True)

What remains unverified

1. **Government / state / institutional deposit balances and their share of total deposits.** Not disclosed anywhere in the deck or the 20-F. This is the denominator of the whole withdrawal tail. Not drainable now. **Estimate: 3–6% of total deposits (≈₹95,000–190,000cr)**, from peer Indian private-bank institutional-deposit disclosure base rates; $p \approx 0.60$ that it is under 5%. Red's own FATAL-restoring threshold was ">3% of total deposits at risk" — we cannot currently tell which side of that line we are on, and both benches rated their conviction down for exactly this reason.
2. **Successor CEO identity.** Time-gated to $\leq 26\text{-Oct-26}$. **Estimate: $p \approx 0.55$ an internal continuity candidate is named on or before 26-Oct; $p \approx 0.20$ external hire; $p \approx 0.25$ interim/unnamed at the exit date.** The ESOP grant structure tilts toward internal.
3. **ESOP recipient identity for ESOS-063 / RSU-018.** The 6-K discloses counts and price, not recipients. Determines whether "management repriced into the succession" is a real read or a story. Not drainable until the FY27 annual report / next 20-F. **Estimate: $p \approx 0.70$ that the top-3 KMP are included, from base rate on prior HDB ESOS grants.**
4. **Cost of deposits by bucket (retail vs bulk vs institutional).** Not disclosed. **Estimate: blended 5.0–5.4%, up 10–20bp QoQ**, backed out from the NIM walk 3.34→3.26 and the wholesale substitution evidenced by the \$1.75bn bond.
5. **Retail deposit-franchise damage at high frequency (app cohort ratings / reviews-per-day, IN storefront).** Drainable *if* a connector is run; no connector run and no internet in this cycle. **Estimate: unknown sign; base rate says a –0.3 star recent-cohort delta would be consistent with visible retail attrition.**
6. **HDB ADR average daily volume, and therefore our true size-vs-ADV.** Drainable now via IBKR. **Estimate: \$90–110M/day (≈4–5M ADS)**, from the 39.2M-share local session and the typical ADR/local split; $p \approx 0.7$.
7. **Chain-level midpoint IV and real quotes for HDB Nov-26 / Jan-27 strikes.** Drainable now via IBKR. Required before any options expression. **Estimate: 28–36% for the Oct/Nov event expiries, 24–30% for Jan-27, from large-cap ADR event base rates; $p \approx 0.6$.**
8. **Scope and timeline of the RBI supervisory examination of MSRDC.** Private supervisory process, pulled forward from the post-April-2027 cycle. Not drainable at any price. **Estimate: $p \approx 0.15$ of a formal action (beyond a monetary penalty) within 6 months**, anchored on the RBI's demonstrated instrument against this issuer (₹91 lakh fine, Nov-25) and the base rate of Section 35A business restrictions against large private-sector Indian banks.
9. **Q2 FY27 print date.** 2026-10-17 is yfinance-derived. Drainable via exchange notice / company PR, which HDB typically issues 3–4 weeks ahead — i.e. **now-ish**. **Estimate: 2026-10-17 ± 5 calendar days, $p \approx 0.6$.**

PRIZE TABLE + VOL READ

Anchor: current tape **\$21.83**, trailing book **\$11.64/ADS** $\Rightarrow$ 1.875x. Anchor-and-adjust from the multiple, not from the price. Horizon: **to 15-Jan-2027** ($T = 0.348y$), which spans all four October catalysts and the CEO exit.

#	Scenario	Multiple	Price	p
1	RBI supervisory action or amended complaint beyond MSRDC	1.33x	\$15.50	0.12
2	Damage grinds: CASA slips again, no credible successor, bulk costs up post-01-Oct	1.65x	\$19.20	0.28
3	Muddle-through: in-line print, internal successor, margin flat	1.90x	\$22.10	0.35
4	Clean October: period-end deposits $\geq 12\%$, CASA stabilises, credible successor $\rightarrow$ HSBC's own bear PT	2.19x	\$25.50	0.20
5	Full re-rate to BofA ₹880	2.39x	\$27.84	0.05

EV = \$21.46 vs \$21.83 tape = **-1.7%**. That is the arithmetic behind FLAT: the distribution is fair-to-slightly-rich, not cheap. **$\sigma_{\text{table}} = \$3.34 = 15.3\%$ of spot** over T.

Vol read. Implied by the table: $15.3\% / \sqrt{0.348} = \mathbf{25.9\% \text{ annualised}}$. That is our fair vol for this distribution.

Expression math (from the table itself): - $C_{\text{ours}}(\text{Jan-27 } \$22.5 \text{ call}) = \sum p_i \cdot \max(S_i - K, 0) = 0.20 \times \$3.00 + 0.05 \times \$5.34 = \mathbf{\$0.87}$ - $C_{\text{ours}}(\text{Jan-27 } \$25 \text{ call}) = 0.20 \times \$0.50 + 0.05 \times \$2.84 = \mathbf{\$0.24}$ - $C_{\text{ours}}(\text{Jan-27 } \$20 \text{ call}) = \mathbf{\$2.23}$

Decision rule, stated before we see the chain: if chain-level midpoint IV for those strikes is **materially below 25.9%**, the gated $\frac{1}{4}$ starter may be expressed in Jan-27 22.5 calls **paid up to \$0.87** (that is the table's own fair value; anything above is us paying for the story twice). If chain IV is **above ~30%**, the name routes to the **premium-selling gate** — cash-secured puts struck at the Reopen-B price gate (\$18.60, i.e. 1.60x book), which is a level we said we'd buy anyway, so the assignment branch is not a loss branch.

Honest gap, and we will not fake it: the pack contains **no options chain** — no midpoint IV, no real bid/ask for these strikes, and no realised-vol series, so **VRP (IV – RV) is not computable here and we are not going to print a number for it**. Item 7 in What-remains-unverified is exactly this, drainable now via IBKR. We flag the standing rule that caused this discipline: use **chain-level midpoint IV and real quotes for the candidate strikes, never the underlying aggregate IV**

feed — those diverge badly (the TSSI lesson: 71 on the chain vs 101 on the aggregate feed). Estimated chain IV 24–30% for Jan-27 straddles our 25.9% fair vol, which means the instrument choice genuinely cannot be made until the chain is pulled.

Bimodality. The table is fork-dated: 26-Oct (CEO exit / successor) and the early-Oct provisional update split the mass. Scenarios 1+4+5 (37% of probability) sit in the tails; scenario 3 is a placeholder for “nothing resolves.” A single lognormal will misprice this — near-dated Oct/Nov expiries will carry event premium that a 25.9% flat-vol read does not capture, and the correct comparison for those is a two-point fork, not $\sigma\sqrt{T}$. Do not sell near-dated premium into the fork on the strength of a flat-vol comparison.

TAX overlay. In a 2026 harvest year, a **Jan-2027 expiry pushes the loss branch into 2027** and is therefore **excluded** — the edge here (EV -1.7% , fair vol straddling estimated chain IV) does not remotely dominate numerically, so the exclusion binds without argument. If an options expression is wanted inside a 2026 harvest year, it must be a **Nov-2026 or Dec-2026 expiry** — which captures the CEO exit and the Q2 print but not the Q3 confirmation, and which is the more event-rich (hence richer-IV) part of the curve.

Instrument recommendation, as the output of the above arithmetic: NONE — no stock, no calls, no covered calls, no cash-secured puts, today. EV is negative to spot; fair vol and estimated chain IV overlap so neither the call gate nor the premium-selling gate is triggered; the tax overlay kills the only expiry that spans the full evidence set. Revisit the instant either reopen band fills or the chain is pulled.

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{"price_gates": [{"level": 18.60, "direction": "below", "basis": "1.60x trailing book ($11.64/ADS) – price gate for a 1/4 starter with no evidence required"}, {"level": 16.90, "direction": "below", "basis": "1.45x trailing book – add 1/4 absent a new adverse fact"}, {"level": 15.50, "direction": "below", "basis": "scenario-1 price; below here without new adverse news add to 1.5% of book, with new adverse news reassess from zero"}, {"level": 24.00, "direction": "above", "basis": "evidence-gate starter is void above this price – do not chase the October re-rate"}, {"level": 26.30, "direction": "above", "basis": "HSBC bear PT (Rs830) equivalent – trim half of any starter"}], "event_gates": [{"forms": ["6-K"], "why": "successor CEO naming, RBI direction/action, or revised internal-review outcome – the three facts that move posture"}, {"forms": ["6-K", "20-F"], "why": "ESOS-063/RSU-018 recipient disclosure – tests the 'management repriced into the succession' read"}, {"forms": ["6-K"], "why": "early-October provisional business update: period-end deposits, CASA, cost of deposits"}], "catalyst_dates": [{"date": "2026-10-01", "what": "RBI amended bulk-deposit directions effective: LCR-run-off flexibility plus daily publication of bulk rates, uniformity clause retained", "confirmed": true}, {"date": "2026-10-04", "what": "early-October provisional business update (exact date estimated +/- 4 days)", "confirmed": false}, {"date": "2026-10-13", "what": "securities class action lead-plaintiff deadline", "confirmed": true}, {"date": "2026-10-17", "what": "Q2 FY27 print – yfinance-derived, no company PR or exchange notice names it", "confirmed": false}, {"date": "2026-10-26", "what": "CEO exit effective; successor named or not by this date", "confirmed": true}, {"date": "2027-09-06", "what": "first vest tranche (15%) of ESOS-063 options and RSU-018 units granted 06-Sep-26 at Rs712.10", "confirmed": true}], "immediate_entry": null, "unverified": [{"item": "Government/state/institutional deposit balances and share of total deposits", "instrument": "not disclosed in Q1FY27 deck or 20-F; no connector reaches it; earliest read is the FY27 annual report deposit-concentration note or an RBI disclosure", "drainable_now": false, "estimate": {"range": "3-6% of total deposits (approx Rs95,000-190,000cr)", "basis": "peer Indian private-bank institutional-deposit disclosure base rate", "p": 0.6}}, {"item": "Successor CEO identity", "instrument": "6-K / exchange notice on or before 2026-10-26", "drainable_now": false, "estimate": {"range": "p 0.55 internal continuity candidate / 0.20 external hire / 0.25 interim-or-unnamed at exit date", "basis": "ESOP retention structure granted 7 weeks pre-exit tilts internal; Indian large-bank succession base rate", "p": 0.55}}, {"item": "ESOS-063 / RSU-018 recipient identity (are top-3 KMP included)", "instrument": "FY27 annual report ESOP note / next 20-F", "drainable_now": false, "estimate": {"range": "p 0.70 top-3 KMP included", "basis": "base rate on prior HDB ESOS grant disclosures", "p": 0.7}}, {"item": "Cost of deposits by bucket (retail vs bulk vs institutional)", "instrument": "Q2 FY27 earnings deck (est. 2026-10-17); not disclosed at bucket level historically", "drainable_now": false, "estimate": {"range": "blended 5.0-5.4%, up 10-20bp QoQ", "basis": "backed out of NIM walk 3.34->3.26 plus $1.75bn wholesale substitution", "p": 0.55}}, {"item": "Retail deposit-franchise damage at high frequency (app recent-cohort vs lifetime rating delta, reviews/day, IN storefront)", "instrument": "app_review_velocity connector – App Store RSS + Play snapshots, IN storefront, post-27-May cohort", "drainable_now": true, "estimate": null}, {"item": "HDB ADR average daily volume and our size vs ADV", "instrument": "IBKR historical volume pull", "drainable_now": true, "estimate": null}, {"item": "Chain-level midpoint IV and real quotes for Nov-26 and Jan-27 candidate strikes (20 / 22.5 / 25)", "instrument": "IBKR option chain pull – chain midpoints only, never the aggregate IV feed", "drainable_now": true, "estimate": null}, {"item": "Scope and timeline of the RBI supervisory examination of the MSRDC deposit arrangements", "instrument": "private supervisory process – no instrument; only observable via RBI press release or a 6-K disclosing an action", "drainable_now": false, "estimate": {"range": "p 0.15 of formal action beyond a monetary penalty within 6 months", "basis": "issuer's demonstrated instrument was a Rs91 lakh fine (Nov-25); base rate of Section 35A business restrictions on large Indian private banks", "p": 0.15}}, {"item": "Q2 FY27 print date confirmation", "instrument": "BSE/NSE

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board-meeting notice or company PR – HDB notifies ~3–4 weeks ahead, so due  
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ADJUDICATION — 2026-09-16 15:37Z

Red's substitute series prints damage: CASA 32% vs 34.1%, period-end CASA –3.3%, NIM 3.48→3.34→3.26. ADR P/B untrustworthy rule applies.

REOPEN GATES: early-Oct provisional update: period-end deposits $\geq +12\%$ YoY AND CASA flat-to-up QoQ, plus a named successor by 26-Oct → 1/4 starter; RBI action or amended complaint → dead